TalentVault Inc.

Investor Update | Talent Intelligence & Recruiting Automation

Period: Q2 2025

TalentVault provides an AI-powered talent intelligence platform to enterprise HR and recruiting teams, aggregating labour market data, automating candidate sourcing, and providing predictive retention analytics. Pricing is per-seat with data feed tiers.

Key Performance Indicators – Q2 2025

KPI	Q2 2025	Q1 2025
Contracted ARR	$22.4M	$20.8M
Quarterly Revenue (recognized)	$5.5M	$5.1M
Gross Margin	76%	75%
Gross Revenue Retention (LTM)	91%	90%
Net Revenue Retention (LTM)	119%	116%
Enterprise Accounts (>$100k ARR)	48	43
Total Paying Seats	6,840	6,210
Total Headcount	103	97
Monthly Net Burn	($0.68M)	($0.74M)
Cash Balance	$17.9M	$19.0M

Platform Engagement

Weekly active users as a percentage of licensed seats reached 64% on a 30-day trailing basis, up from 61% in Q1 2025. Candidate profiles processed during the quarter totalled approximately 4.2 million, a 14% increase quarter-over-quarter. AI-assisted shortlist adoption reached 73% of active users, compared to 68% in the prior quarter. The predictive retention module (launched Q1 2025) saw uptake across 22 enterprise accounts by period end.

Pipeline Summary

Pipeline Stage	# Deals	Total ACV	Wtd. ACV
Discovery / Qualified	41	$11.2M	$3.4M
Active Evaluation	22	$8.6M	$4.3M
Legal / Procurement	9	$4.1M	$3.1M

Average enterprise sales cycle extended to approximately 112 days in Q2 2025 versus 98 days in Q1, driven by increased procurement scrutiny around AI vendor security assessments. Two verbal commitments from Q1 slipped to Q3 2025.

Key Risks

• Data provenance risk: a key labour market data supplier (~35% of coverage) is in contract renegotiation.

• EU AI Act compliance investment estimated at $0.6M–$1.0M in H2 2025.

• Two large ATS vendors announced competing AI sourcing features in Q2 2025.

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(1) Contracted ARR reflects signed, active contracts; includes multi-year deals at full annualized value.

(2) Gross Revenue Retention excludes expansion; Net Revenue Retention includes upsell and cross-sell.

(3) Monthly Net Burn excludes non-cash stock-based compensation ($0.42M/quarter).

(4) Weighted ACV applies deal-stage probability haircuts to total pipeline ACV.